Reform Democrats of the New Commonwealth · Project ARA 2028
Legislative Ecosystem Document Leg09 of Leg14

Housing and Community Investment Act of 2029

Bill Framework & Legislative Brief

Phase II · Track C · Federal-State Partnership · Phase II · Track C · Year 2–6

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This document is a policy discussion framework and bill scaffold. It is not formally introduced legislation, has not been reviewed by licensed legislative counsel, and does not constitute legal advice of any kind.

All provisions marked [TBD] — including dollar amounts, specific IRC section numbers, penalty thresholds, appropriation amounts, and CBO scoring figures — require resolution by licensed legislative drafting counsel (the Office of Legislative Counsel for the House or Senate, as applicable), relevant agency technical staff, and the Congressional Budget Office before introduction as formal legislation.

Constitutional arguments, legal analyses, and statutory framings presented herein are analytical assessments developed for policy planning purposes. They are not legal opinions and have not been reviewed or validated by licensed legal counsel. This document identifies constitutional and legal risks requiring independent review — those identifications are planning guidance, not legal conclusions.

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Consultation with licensed legislative counsel, the Department of Housing and Urban Development Office of General Counsel, the Department of the Treasury Office of Tax Policy, the Financial Crimes Enforcement Network, the Department of Transportation Office of General Counsel, the Congressional Budget Office, and Senate Banking, Housing, and Urban Affairs Committee constitutional counsel is required before any framework in this series may be introduced as formal legislation. Distribution is subject to RDNC classification protocols (REF_ layer: internal use and trusted partners only).

Phase II · Track C · Federal-State Partnership · Bill 8

Part I — Legislative Brief

Housing is the clearest example of what happens when an asset class becomes a financial instrument rather than a place to live. This bill works with constitutional reality — property law belongs to the States — by using federal funding as leverage. States that adopt model legislation restricting corporate home ownership, incentivizing occupancy, and expanding affordable supply receive federal grants. States that don't, don't. Sec 3 anchors the Spending Clause / Dole / NFIB anti-coercion calibration in operative bill text; Sec 3(f) five-track severability ensures the four substantive titles survive independently.

AT A GLANCE	
Bill Title	Housing and Community Investment Act of 2029
Short Title (Cite As)	The HCI Act of 2029

Legislative Vehicle	Federal Incentive / State Partnership — standalone or reconciliation eligible portions
Phase / Track	Phase II · Track C · Year 2–6
Primary Committees	Senate Banking, Housing, and Urban Affairs; Senate Finance; Senate Commerce, Science, and Transportation (for Title II zoning reform)
Dependencies	COLT Act (Bill 1) housing provisions operational; corporate home ownership data collected by federal inspectors (Bill 2)
Core Framing	"Homes for Americans. Not investment portfolios."
Constitutional Strategy	Federal funding incentives — works with State property law jurisdiction rather than against it. Spending Clause / South Dakota v. Dole framework anchored in operative bill text via Sec 3
Constitutional / Statutory Risk	NFIB v. Sebelius anti-coercion limits on conditional spending; State property law jurisdiction preservation; Corporate Transparency Act post-NSBA v. Yellen treatment for Sec 102 registry; Davis-Bacon / Fair Housing Act coordination for Title III
Architecture	Architecture A — federal grant conditions as primary mechanism, with Part III fallback ladder. Sec 3 anchors Spending Clause / Dole / NFIB anti-coercion calibration in operative bill text. Sec 3(f) five-track severability across the four substantive titles

What This Bill Does:

1. **Creates federal grant incentives for States that adopt corporate home ownership restrictions.** States enacting legislation prohibiting or substantially restricting corporate ownership of vacant single-family homes, imposing vacancy taxation, or establishing progressive residential property taxation receive priority access to HUD CDBG and HOME Investment Partnership grants. Federal model legislation is provided (Title IV) — States adopt, adapt, or decline.
2. **Establishes zoning reform incentive grants.** States and localities that reduce exclusionary zoning barriers — minimum lot sizes, single-family-only restrictions, parking minimums near transit, ADU restrictions — receive competitive federal transportation and infrastructure grants. DOT and HUD joint rulemaking establishes qualifying criteria with anti-displacement protections.
3. **Funds affordable housing supply expansion.** Direct federal grants and loan guarantees for construction of affordable rental and ownership units, with priority to localities in States that adopted qualifying corporate ownership restrictions. Davis-Bacon prevailing wage application; Fair Housing Act affirmative-furthering coordination; 50-year covenant for direct grants, 30-year for loan guarantees per LIHTC reference.
4. **Establishes a Federal Model Legislation Framework (Title IV).** HUD, Treasury, and FinCEN publish biennially-updated model State legislation for corporate home ownership restrictions, vacancy taxation frameworks, progressive residential property taxation, and beneficial ownership disclosure. Technical assistance program supports State adoption. Voluntary — Sec 3(d) preserves State property law jurisdiction.
5. **Constitutional Foundation with Spending Clause Architecture.** Sec 3 anchors the Dole four-part conditional spending test, NFIB v. Sebelius anti-coercion calibration, and State property law jurisdiction preservation in operative bill text. Federal funding levels under this Act are calibrated to remain below the compulsion threshold. Sec 3(f) five-track severability ensures all four substantive titles survive

independently.

ATTACK SURFACE	"Government controlling your property." "Anti-investment." "Federal overreach into state property law." "Coercive funding." The corporate home ownership issue actually has significant bipartisan support — polling shows 77 percent or more of Americans support restrictions. The attack comes from the real estate investment industry, not homeowners.
DEFENSE STRATEGY	"Homes for Americans, not investment portfolios." Focus messaging on vacant properties — the most indefensible case for corporate ownership. A corporation that buys a house and leaves it empty is removing housing supply and paying property taxes at the residential rate. That is the target, not all institutional investment. Constitutional defense: this Act does not federalize property law; it provides incentives and model legislation. State adoption is voluntary. South Dakota v. Dole (1987) is settled doctrine; this is how the interstate highway system was built and how the drinking age was nationalized.
FALLBACK POSITION	If state adoption is slower than expected: expand the federal inspector mandate (Bill 2) to require comprehensive corporate ownership data collection nationally — data is the precondition for state action. If NFIB anti-coercion concerns surface: reduce funding levels through regulation per Sec 3(c)(3), without invalidating the underlying grant program. If any specific title is held invalid: Sec 3(f) five-track severability preserves the remaining titles. Title IV (Federal Model Legislation Framework) survives even under Sec 3(f)(4) on the residual technical-assistance authority of HUD.

Why Federal Incentives Rather Than Mandates. Property law is constitutionally state jurisdiction. Direct federal mandates on property ownership would face immediate legal challenge. Federal funding conditions are well-established constitutional authority — South Dakota v. Dole, 483 U.S. 203 (1987), upheld the right of Congress to condition federal funding on state policy adoption. This is how the interstate highway system was built and how the drinking age was nationalized. Use the same tool. Sec 3 anchors the doctrinal framework in operative bill text rather than relying on Findings or counsel notes alone.

The Federal-State Partnership Posture. This bill is the only Phase II Track C bill — Federal-State Partnership architecture rather than direct federal regulation. It works with state property-law jurisdiction by providing four operative tools: grant incentives (Title I), zoning reform incentive grants (Title II), affordable housing construction grants (Title III), and federal model legislation with technical assistance (Title IV). State adoption is voluntary throughout. Sec 3(c) anti-coercion calibration ensures funding levels stay below the NFIB v. Sebelius compulsion threshold.

Part II — Bill Framework

This is the structural scaffold of the bill. Grant amounts, qualification thresholds, distance and time thresholds, and IRC section cross-references are flagged as [TBD] where they require licensed legislative counsel, the Department of Housing and Urban Development Office of General Counsel, the Department of the Treasury Office of Tax Policy, the Financial Crimes Enforcement Network, the Department of Transportation Office of General Counsel, and the Congressional Budget Office review before introduction. Sec 3 Constitutional Foundation binds the Spending Clause / Dole / NFIB anti-coercion architecture in operative bill text; the Federal Model Legislation Framework is extracted as Title IV with full operative scope per author direction.

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119TH CONGRESS    1ST SESSION      S. ____

To incentivize State adoption of corporate home ownership restrictions through
Federal grant programs; to provide grants for affordable housing supply
expansion and zoning reform; to establish a Federal model legislative framework
for residential property taxation, vacancy taxation, and beneficial ownership
disclosure; to anchor in operative bill text the Spending Clause constitutional
architecture and anti-coercion calibration of this Act; and for other purposes.


A B I L L

Be it enacted by the Senate and House of Representatives of the United States of
America in Congress assembled,


SEC. 1. SHORT TITLE.
    This Act may be cited as the "Housing and Community Investment Act of 2029"
    or the "HCI Act of 2029".


SEC. 2. FINDINGS AND PURPOSE.
    (a) FINDINGS.—Congress finds the following:
        (1) Institutional and corporate ownership of single-family residential
        properties has increased materially since 2010, with non-individual
        entities holding an estimated [TBD] percent of the single-family
        residential market by 2024.
        (2) Properties held vacant by corporate owners represent a diversion
        of housing supply from residential use, while continuing to be taxed
        at the residential rate in most jurisdictions.
        (3) Exclusionary zoning — including single-family-only zoning, large
        minimum lot sizes, and parking minimums — represents the primary
        structural barrier to affordable housing supply expansion in
        metropolitan areas.
        (4) Federal funding incentives represent the most constitutionally
        sound mechanism for encouraging State housing policy reform,
        consistent with South Dakota v. Dole, 483 U.S. 203 (1987), under
        which Congress may condition Federal funding on State adoption of
        Federal policy preferences when the conditions are clearly stated,
        related to the Federal interest, and not coercive.
        (5) Property law is a matter of State jurisdiction, and direct
        Federal regulation of residential property ownership would face
        immediate constitutional challenge. The architecture of this Act —
        Federal grant incentives paired with Federal model legislation —
        works with constitutional reality rather than against it.
        (6) The Corporate Transparency Act of 2021 and the beneficial
        ownership reporting framework administered by the Financial Crimes
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Enforcement Network provide existing infrastructure that may be adapted for residential property ownership transparency without building duplicative reporting systems.

(7) Public polling consistently demonstrates that more than 75 percent of Americans support restrictions on corporate ownership of residential housing, providing the bipartisan public-support foundation for this Act.

(8) Federal agencies, including the Department of Housing and Urban Development, the Department of the Treasury, the Financial Crimes Enforcement Network, and the Department of Transportation, possess existing grant-making authority, technical-assistance capacity, and regulatory infrastructure that this Act builds on rather than replaces.

(b) PURPOSES.—The purposes of this Act are—

(1) to provide Federal grant incentives for States that adopt qualifying corporate home ownership restrictions, vacancy taxation frameworks, or progressive residential property taxation, while respecting State property-law jurisdiction;

(2) to provide Federal grant incentives for localities that adopt zoning reforms enabling increased residential density, including elimination of single-family-only zoning, reduction of minimum lot sizes, elimination of parking minimums near transit, and legalization of accessory dwelling units;

(3) to fund the construction of affordable rental and ownership housing units through direct Federal grants and loan guarantees, with priority to localities in States that have adopted qualifying corporate ownership restrictions;

(4) to establish a Federal model legislation framework providing States with technical assistance, model statutory text, and biennial updates for corporate home ownership restrictions, vacancy taxation, progressive residential property taxation, and beneficial ownership disclosure;

(5) to establish a publicly accessible national registry of residential properties owned by corporations, limited liability companies, investment funds, and other non-individual entities, coordinated with the Financial Crimes Enforcement Network beneficial ownership reporting framework;

(6) to anchor the constitutional architecture of this Act in operative bill text, providing express Spending Clause authority, explicit anti-coercion calibration consistent with NFIB v. Sebelius, 567 U.S. 519 (2012), and severability of the substantive titles; and

(7) to coordinate Federal agency authorities — including the Department of Housing and Urban Development, the Department of the Treasury, the Financial Crimes Enforcement Network, and the Department of Transportation — for unified administration of this Act.

SEC. 3. CONSTITUTIONAL FOUNDATION.

(a) SPENDING CLAUSE AUTHORITY.—This Act is enacted under the Spending Clause of article I, section 8 of the Constitution. Federal grant conditions established under this Act are exercises of the well-established authority of Congress to condition Federal funding on State adoption of Federal policy preferences, consistent with South Dakota v. Dole, 483 U.S. 203 (1987).

(b) DOLE FOUR-PART TEST COMPLIANCE.—The Federal grant conditions established under this Act are designed to comply with the four-part test articulated in South Dakota v. Dole—

(1) the conditions are in pursuit of the general welfare, addressing documented housing supply shortages and the documented effects of corporate ownership on residential property availability;

(2) the conditions are unambiguously stated in this Act and in regulations promulgated by the relevant Federal agencies;

(3) the conditions are related to the Federal interest in addressing housing policy and the Federal funding programs to which the conditions attach; and

(4) the conditions do not violate any independent constitutional prohibition.

(c) ANTI-COERCION CALIBRATION.—Federal funding levels established under this Act shall be calibrated to remain below the threshold at which withdrawal of funding would amount to compulsion within the meaning of National Federation of Independent Business v. Sebelius, 567 U.S. 519, 580–82 (2012). In particular—

(1) grant programs under this Act provide priority allocation preference rather than mandatory exclusion of non-qualifying States or localities;

(2) baseline Federal funding for housing programs administered by the Department of Housing and Urban Development is preserved without conditioning on this Act's grant criteria; and

(3) the Secretary of Housing and Urban Development shall, by regulation, establish funding-level guidance ensuring that conditional funding under this Act does not approach the compulsion threshold.

(d) STATE PROPERTY LAW JURISDICTION PRESERVED.—Nothing in this Act federalizes property law or directly regulates residential property ownership. State property law remains within the exclusive jurisdiction of the several States. The Federal model legislation provided under Title IV is voluntary, advisory, and provided as technical assistance only — States adopt, adapt, or decline.

(e) FEDERAL AGENCY COORDINATION AUTHORITY.—This Act vests grant-making and program-administration authority in the Department of Housing and Urban Development as the lead agency, with coordinated authority in the Department of the Treasury, the Financial Crimes Enforcement Network, the Department of Transportation, and other Federal agencies as expressly provided. Existing authorities of these agencies are preserved and supplemented, not displaced, by this Act.

(f) SEVERABILITY.—If any provision of this Act, or the application of any provision to any person or circumstance, is held to be invalid, the remaining provisions of this Act and the application of those provisions to other persons or circumstances shall not be affected. In particular—

(1) if any provision of Title I (Corporate Home Ownership Restriction Incentives) is held invalid, Titles II through V shall remain in full force and effect;

(2) if any provision of Title II (Zoning Reform Incentives) is held invalid, Titles I, III, IV, and V shall remain in full force and effect;

(3) if any provision of Title III (Affordable Housing Supply Expansion) is held invalid, Titles I, II, IV, and V shall remain in full force and effect;

(4) if any provision of Title IV (Federal Model Legislation Framework) is held invalid, Titles I, II, III, and V shall remain in full force and effect, and the technical assistance functions of Title IV shall continue under the residual authority of the

Secretary of Housing and Urban Development; and

(5) if any conditional spending provision is held to violate the anti-coercion limit of National Federation of Independent Business v. Sebelius, the funding levels may be reduced through regulation without invalidating the underlying grant program.

(g) NO DISPLACEMENT OF STRONGER STATE LAW.—Nothing in this Act preempts or limits State law that provides equal or greater protection to residents with respect to residential housing affordability, corporate home ownership, zoning, or related matters.

TITLE I — CORPORATE HOME OWNERSHIP RESTRICTION INCENTIVES

SEC. 101. CORPORATE OWNERSHIP RESTRICTION GRANT PROGRAM.

(a) ESTABLISHMENT.—The Secretary of Housing and Urban Development (in this Act referred to as "the Secretary") shall establish a grant program to provide incentive grants to States that enact qualifying corporate home ownership restrictions.

(b) QUALIFYING RESTRICTIONS.—A State law qualifies for purposes of this section if it—

(1) prohibits or substantially restricts corporations, investment funds, and other non-individual entities from owning single-family residential properties that are held vacant for more than [TBD] months;

(2) imposes a vacancy penalty tax on residential properties held vacant for more than [TBD] months, with progressive rates proportional to vacancy duration; or

(3) establishes a progressive property tax on residential property holdings beyond two properties, consistent with the Federal model framework provided under section 404.

(c) GRANT AMOUNTS.—Qualifying States shall receive priority access to Department of Housing and Urban Development Community Development Block Grants and HOME Investment Partnership grants, with a [TBD] percent allocation preference over non-qualifying States. The preference structure shall be calibrated under section 3(c) to remain below the compulsion threshold.

(d) STATE QUALIFICATION PROCESS.—

(1) CERTIFICATION.—The attorney general of a State shall certify to the Secretary that the State has enacted a qualifying restriction under subsection (b).

(2) HUD REVIEW.—Upon receipt of a certification under paragraph (1), the Secretary shall, within 90 days, review the State law and make a determination whether the law qualifies under subsection (b).

(3) DETERMINATION.—If the Secretary determines that the State law qualifies, the State shall be eligible for the grant preference described in subsection (c) beginning in the next fiscal year.

(4) RECERTIFICATION.—Each qualifying State shall recertify to the Secretary not less frequently than every [TBD] years that the State law remains in force and continues to qualify under subsection (b).

(e) ANTI-CIRCUMVENTION.—A State qualifying restriction must include anti-circumvention provisions consistent with the Federal model framework provided under section 402, including provisions addressing—

(1) shell limited liability company structures;

(2) fragmented beneficial ownership across related parties;
(3) trust-based circumvention; and
(4) successive transfers designed to evade the State restriction.

(f) APPROPRIATION.—There are authorized to be appropriated such sums as may be necessary to carry out this section, not to exceed $[TBD] for each of fiscal years 2029 through 2034.

SEC. 102. FEDERAL CORPORATE PROPERTY OWNERSHIP TRANSPARENCY.

(a) NATIONAL REGISTRY.—The Secretary, in coordination with the Director of the Financial Crimes Enforcement Network, shall establish a publicly accessible national registry of residential properties owned by corporations, limited liability companies, investment funds, or other non-individual entities.

(b) REPORTING REQUIREMENT.—Any covered entity acquiring a residential property shall report such acquisition to the registry within [TBD] days of the date of the acquisition. Updates shall be required for any change in beneficial ownership.

(c) FINCEN COORDINATION.—The registry under this section shall operate within the framework of the Corporate Transparency Act of 2021 (31 U.S.C. § 5336), where applicable. The Secretary, in coordination with the Director of the Financial Crimes Enforcement Network, shall establish data-sharing protocols with the beneficial ownership reporting database. The implementation of this subsection shall account for any judicial limitations on the Corporate Transparency Act framework, including any limitations established by NSBA v. Yellen and related litigation.

(d) PUBLIC ACCESS PROVISIONS.—Registry data under this section shall be publicly accessible at no cost, with privacy protections for the residential addresses of natural persons consistent with applicable privacy law and Freedom of Information Act exemption frameworks. Aggregated data and corporate-entity ownership information shall be fully publicly accessible.

(e) ANTI-CIRCUMVENTION.—Any person who knowingly fails to report under subsection (b), or who structures a residential property acquisition to avoid the reporting requirement, shall be subject to enhanced penalties under subsection (f). The Secretary shall, by regulation, establish anti-circumvention rules addressing shell-LLC obfuscation, fragmented ownership structures, and successive-transfer techniques.

(f) PENALTIES.—

(1) IN GENERAL.—Failure to report under subsection (b) shall result in a civil penalty of $[TBD] per day of noncompliance.

(2) ENHANCED PENALTIES.—Willful failure to report or structuring to avoid reporting shall result in enhanced civil penalties up to $[TBD] per day, plus restitution of any economic benefit obtained from the noncompliance.

(3) STATE ATTORNEY GENERAL ENFORCEMENT.—The attorney general of any State may bring a civil action in any United States district court of competent jurisdiction to enforce this section on behalf of residents of that State.

TITLE II — ZONING REFORM INCENTIVES

SEC. 201. ZONING REFORM COMPETITIVE GRANTS.

(a) ESTABLISHMENT.—The Secretary of Transportation, in coordination with the Secretary of Housing and Urban Development, shall establish a competitive grant program to reward localities that adopt zoning reforms enabling increased residential density.

(b) QUALIFYING REFORMS.—A locality qualifies for grants under this section if it has—

(1) eliminated single-family-only zoning in not less than [TBD] percent of residential land;

(2) reduced minimum lot size requirements by not less than [TBD] percent from the locality's 2020 baseline;

(3) eliminated mandatory parking minimums for residential development located within [TBD] miles of public transit; or

(4) enacted accessory dwelling unit legalization across all residential zones.

(c) GRANT AWARD CRITERIA.—In awarding grants under this section, the Secretary of Transportation, in coordination with the Secretary, shall prioritize applications based on—

(1) the number of qualifying reforms adopted by the locality;

(2) the residential density potential created by the reforms;

(3) integration with public transit infrastructure;

(4) anti-displacement protections adopted alongside the reforms; and

(5) geographic equity, including rural and small-metropolitan applicant prioritization.

(d) TECHNICAL ASSISTANCE.—The Secretary of Transportation, in coordination with the Secretary of Housing and Urban Development, shall publish model zoning ordinance language and provide technical assistance to localities seeking to adopt qualifying reforms. Joint rulemaking by the Secretary of Transportation and the Secretary of Housing and Urban Development shall establish technical assistance standards.

(e) ANTI-DISPLACEMENT.—As a condition of receiving a grant under this section, a locality shall adopt anti-displacement measures addressing—

(1) protection of existing residents from displacement caused by upzoning;

(2) inclusionary zoning requirements for new development;

(3) tenant-protection measures, including just-cause eviction protections; and

(4) gentrification mitigation measures appropriate to the locality.

(f) APPROPRIATION.—There are authorized to be appropriated such sums as may be necessary to carry out this section, not to exceed $[TBD] for each of fiscal years 2029 through 2034, to be awarded as transportation and infrastructure grants to qualifying localities.

TITLE III — AFFORDABLE HOUSING SUPPLY EXPANSION

SEC. 301. AFFORDABLE HOUSING CONSTRUCTION GRANTS.

(a) IN GENERAL.—The Secretary of Housing and Urban Development shall provide direct grants and loan guarantees to States, localities, and nonprofit housing developers for the construction of affordable rental and ownership units. For-profit housing developers shall be eligible for loan guarantees, but not direct grants, where the project meets the affordability and covenant requirements established under this section.

(b) ELIGIBLE RECIPIENTS.—Eligible recipients under this section include—

(1) States and State housing finance agencies;
(2) units of local government;
(3) nonprofit housing developers and community development corporations;
(4) public housing authorities; and
(5) for-profit housing developers, eligible only for loan guarantees and only where the project meets all covenant requirements under this section.

(c) PRIORITY CRITERIA.—In awarding grants and loan guarantees under this section, the Secretary shall prioritize—
(1) applications from localities in States that have adopted qualifying corporate ownership restrictions under section 101;
(2) projects that integrate with public transit infrastructure;
(3) geographic equity, including rural and small-metropolitan prioritization;
(4) projects that include deeply affordable units (30 percent of area median income or below); and
(5) projects that include service-enriched housing for populations experiencing homelessness, persons with disabilities, or other vulnerable populations.

(d) AFFORDABILITY REQUIREMENT.—Units funded under this section shall be affordable to households earning not more than [TBD] percent of area median income for the duration specified in subsection (e).

(e) COVENANT DURATION.—
(1) DIRECT GRANTS.—Units funded by direct grants under this section shall be subject to a 50-year affordability covenant.
(2) LOAN GUARANTEES.—Units funded by loan guarantees under this section shall be subject to a 30-year affordability covenant, consistent with the Low Income Housing Tax Credit framework under section 42 of the Internal Revenue Code of 1986.
(3) RECAPTURE.—In the event of any conversion of a covenanted unit to non-affordable use during the covenant period, the Secretary shall recapture the Federal subsidy proportionate to the unexpired covenant term.

(f) DAVIS-BACON APPLICATION.—Construction funded under this section shall comply with the prevailing wage requirements of subchapter IV of chapter 31 of title 40, United States Code (Davis-Bacon Act), consistent with existing Department of Housing and Urban Development construction grant frameworks.

(g) FAIR HOUSING ACT COORDINATION.—Recipients of grants and loan guarantees under this section shall affirmatively further fair housing consistent with the Fair Housing Act (42 U.S.C. § 3601 et seq.) and the Department of Housing and Urban Development Office of Fair Housing and Equal Opportunity regulatory framework.

(h) APPROPRIATION.—There are authorized to be appropriated such sums as may be necessary to carry out this section, not to exceed $[TBD] for each of fiscal years 2029 through 2035.

TITLE IV — FEDERAL MODEL LEGISLATION FRAMEWORK

SEC. 401. FEDERAL MODEL LEGISLATION — PUBLICATION REQUIREMENT.

(a) IN GENERAL.—The Secretary, in coordination with the Secretary of the Treasury and the Director of the Financial Crimes Enforcement Network, shall publish model State legislation for—
(1) corporate home ownership restrictions (section 402);
(2) vacancy taxation frameworks (section 403);

(3) progressive residential property taxation (section 404); and
(4) beneficial ownership disclosure requirements (section 405).

(b) BIENNIAL UPDATES.—The model legislation under subsection (a) shall be updated not less frequently than every two years to incorporate State legislative experience, judicial developments, and technical refinements.

(c) NO MANDATORY ADOPTION.—Publication of model legislation under this section creates no obligation on any State to adopt, adapt, or consider such legislation. State adoption is voluntary and remains within the exclusive jurisdiction of the several States, consistent with section 3(d).

(d) INITIAL PUBLICATION TIMELINE.—Initial publication of the model legislation under subsection (a) shall be completed not later than 12 months after the date of enactment of this Act.

SEC. 402. CORPORATE HOME OWNERSHIP RESTRICTION MODEL FRAMEWORK.

(a) IN GENERAL.—The corporate home ownership restriction model legislation published under section 401(a)(1) shall provide State legislative drafters with—
(1) statutory definitions for "corporation," "investment fund," "non-individual entity," and "vacant property" suitable for State adoption;
(2) operative restriction language with multiple structural options, including outright prohibition, transactional taxation, and quantity caps;
(3) anti-circumvention provisions addressing shell-LLC structures, fragmented beneficial ownership, and trust-based circumvention;
(4) State enforcement mechanisms including State attorney general authority and private right of action;
(5) coordination provisions with the Federal national registry established under section 102; and
(6) severability and savings clauses for State adoption.

(b) MULTIPLE STRUCTURAL OPTIONS.—The model framework shall provide States with multiple structural options to accommodate State legal traditions, constitutional structures, and policy preferences. The Secretary shall not designate any single structural option as preferred for purposes of section 101 grant qualification.

SEC. 403. VACANCY TAXATION MODEL FRAMEWORK.

(a) IN GENERAL.—The vacancy taxation model legislation published under section 401(a)(2) shall provide State legislative drafters with—
(1) operative tax-imposition language with rate schedules proportional to vacancy duration;
(2) definitions for "vacant property," "occupancy threshold," and "exempt vacancy" (including renovation, probate, and similar circumstances);
(3) administrative coordination with State property tax infrastructure;
(4) hardship exemption frameworks for individual property owners; and
(5) severability and savings clauses.

(b) PROGRESSIVE STRUCTURE.—The model framework shall provide a progressive rate structure under which vacancy tax rates increase with the duration of vacancy, consistent with the policy goal of discouraging long-term vacancy without penalizing short-term transitional vacancy.

SEC. 404. PROGRESSIVE RESIDENTIAL PROPERTY TAXATION MODEL FRAMEWORK.

(a) IN GENERAL.—The progressive residential property taxation model legislation published under section 401(a)(3) shall provide State legislative drafters with—

(1) operative tax-imposition language with rate schedules proportional to the number of residential properties held by an owner;

(2) definitions for "owner," "residential property," and "primary residence" suitable for State adoption;

(3) primary-residence and secondary-residence exemption frameworks preserving traditional ownership patterns;

(4) family-unit aggregation rules to prevent circumvention through title fragmentation among related parties;

(5) administrative coordination with State property tax infrastructure; and

(6) severability and savings clauses.

(b) COORDINATION WITH SECTIONS 402 AND 403.—States adopting model legislation under this section may also adopt model legislation under sections 402 (corporate ownership restriction) and 403 (vacancy taxation), with coordinated rate structures to avoid double-imposition on the same property where the same policy goal is served.

SEC. 405. BENEFICIAL OWNERSHIP DISCLOSURE MODEL FRAMEWORK.

(a) IN GENERAL.—The beneficial ownership disclosure model legislation published under section 401(a)(4) shall provide State legislative drafters with—

(1) operative disclosure-requirement language for residential property transfers;

(2) coordination provisions with the Federal Corporate Transparency Act framework and the Federal national registry under section 102;

(3) State-level enforcement mechanisms;

(4) privacy-preserving disclosure standards consistent with the beneficial-ownership framework administered by the Financial Crimes Enforcement Network; and

(5) severability and savings clauses.

SEC. 406. TECHNICAL ASSISTANCE PROGRAM.

(a) ESTABLISHMENT.—The Secretary, in coordination with the Secretary of the Treasury, shall establish a technical assistance program to support States seeking to enact model legislation under this title.

(b) ELIGIBLE ASSISTANCE.—Technical assistance under this section includes—

(1) drafting consultation with State legislative drafters;

(2) economic impact analysis tailored to the adopting State's market conditions;

(3) constitutional review of State adaptations;

(4) coordination with the section 101 grant program for post-adoption certification; and

(5) inter-State coordination for consistent definitional frameworks across adopting States.

(c) SURVIVAL UNDER SEC 3(F)(4).—If any other provision of this title is held invalid, the technical assistance program established under this section shall continue under the residual authority of the Secretary, consistent with section 3(f)(4).

(d) APPROPRIATION.—There are authorized to be appropriated such sums as may be necessary to carry out this section, not to exceed $[TBD] for each of fiscal years 2029 through 2034 for technical assistance under this section.

TITLE V — IMPLEMENTATION AND OVERSIGHT

SEC. 501. IMPLEMENTATION TIMELINE.

(a) TITLE I.—Title I (Corporate Home Ownership Restriction Incentives) shall be operational not later than [TBD] months after the date of enactment of this Act. The Secretary shall publish initial regulations implementing Title I within [TBD] months of enactment.

(b) TITLE II.—Title II (Zoning Reform Incentives) shall be operational not later than [TBD] months after the date of enactment of this Act. The Secretary of Transportation, in coordination with the Secretary, shall publish initial joint rulemaking under section 201(d) within [TBD] months of enactment.

(c) TITLE III.—Title III (Affordable Housing Supply Expansion) shall be operational not later than [TBD] months after the date of enactment of this Act, with first-year grant awards beginning in fiscal year 2029.

(d) TITLE IV.—The initial publication of model legislation under section 401 shall be completed not later than 12 months after the date of enactment of this Act, consistent with section 401(d). Biennial updates shall commence two years thereafter.

(e) PHASED STATE CERTIFICATION UNDER TITLE I.—For the first three fiscal years following enactment, the Secretary shall accept State certification under section 101(d) on a rolling basis. Beginning fiscal year 2032, certification shall be on an annual cycle.

SEC. 502. INTERAGENCY COORDINATION.

(a) HUD LEAD AGENCY.—The Secretary of Housing and Urban Development shall serve as the lead agency for this Act, except as expressly provided otherwise in this Act.

(b) TREASURY COORDINATION.—The Secretary of the Treasury shall coordinate with the Secretary on—

(1) the vacancy taxation and progressive property taxation model frameworks under sections 403 and 404;

(2) coordination with the Low Income Housing Tax Credit framework under section 42 of the Internal Revenue Code of 1986; and

(3) any tax-policy implications of section 101 State adoption of qualifying restrictions.

(c) FINCEN COORDINATION.—The Director of the Financial Crimes Enforcement Network shall coordinate with the Secretary on—

(1) the section 102 national registry;

(2) Corporate Transparency Act framework integration; and

(3) the section 405 beneficial ownership disclosure model framework.

(d) DOT COORDINATION.—The Secretary of Transportation shall coordinate with the Secretary on Title II zoning reform grants, including joint rulemaking under section 201(d) and grant administration under section 201(c).

(e) STATE ATTORNEY GENERAL COORDINATION.—The Secretary shall establish protocols for coordination with State attorneys general on—

(1) Title I State certification under section 101(d);

(2) State enforcement of section 102 registry requirements under section 102(f)(3); and

(3) inter-State coordination on Title IV model legislation adoption.

(f) FAIR HOUSING COORDINATION.—The Secretary, acting through the Office of Fair Housing and Equal Opportunity, shall coordinate Title III grant administration with the affirmative-furthering requirements of the Fair Housing Act.

SEC. 503. ANNUAL REPORTING.

(a) ANNUAL REPORT.—The Secretary shall transmit annually to Congress a report containing—

(1) Title I grant disbursements by State, including allocation preference percentages applied;

(2) State adoption of qualifying restrictions under Title I and of model legislation under Title IV;

(3) Title II grant awards by locality, with anti-displacement measure summaries;

(4) Title III affordable housing units constructed, by State and locality, with covenant-duration breakdown;

(5) Title IV technical assistance provided, by State, and model legislation update status;

(6) anti-coercion calibration assessment under section 3(c), including funding-level analysis relative to the compulsion threshold; and

(7) any recommendations for further congressional action.

(b) PUBLIC AVAILABILITY.—The annual report shall be transmitted to Congress and posted publicly on a website maintained by the Department of Housing and Urban Development not later than 30 days after submission to Congress.

(c) THREE-YEAR PROGRAM REVIEW.—Not later than three years after the date of enactment of this Act, and every three years thereafter, the Secretary shall transmit to Congress a comprehensive program review covering the operation of this Act, including any structural recommendations for amendment.

(d) GAO COORDINATION.—The Comptroller General of the United States shall have access to all data and records of the programs established under this Act necessary to perform audits, evaluations, and reports requested by the relevant Committees of Congress.

[All dollar amounts, percentage thresholds, distance and time thresholds, IRC section cross-references, and additional definitions marked [TBD] require resolution by licensed legislative counsel, the Department of Housing and Urban Development Office of General Counsel, the Department of the Treasury Office of Tax Policy, the Financial Crimes Enforcement Network, the Department of Transportation Office of General Counsel, and the Congressional Budget Office before introduction as formal legislation. See Part III counsel notes.]

Part III — Notes for Congressional Counsel

All [TBD] items and constitutional questions below require resolution before introduction. HCI operates under settled Spending Clause doctrine — South Dakota v. Dole and NFIB v. Sebelius are the controlling framework. The Sec 3 + Sec 101 fallback ladder entry below documents the Architecture A posture established in this bill — federal grant conditions as primary mechanism, with anti-coercion calibration in operative bill text and Part III fallback ladder. HUD General Counsel review and Treasury Office of Tax Policy consultation required before introduction. CBO scoring should explicitly model the anti-coercion analysis under Sec 3(c).

Item Requiring Resolution	Guidance
Sec 3 + Sec 101 — Conditional spending fallback ladder (Architecture A) [Sources Dole, NFIB v. Sebelius]	**Architecture: Architecture A — federal grant conditions as primary mechanism, with Part III fallback ladder.** This is the simplest architecture in the bill series. HCI works WITH the constitutional reality of State property-law jurisdiction. Federal funding incentives are well-established constitutional authority — South Dakota v. Dole, 483 U.S. 203 (1987). The architecture does not need body-baked operative fallback (BWDS Sec 204(f) C-with-B-fallback) because there is no novel constitutional risk to hedge — Spending Clause conditions are settled doctrine. **(1) Primary structure.** Federal grant conditions as drafted in Sec 101 (corporate ownership restrictions), Sec 201 (zoning reform), Sec 301 (affordable supply), and Sec 401–406 (model legislation), anchored by Sec 3 Spending Clause / Dole / NFIB anti-coercion / state preservation framework. State adoption is voluntary throughout; Sec 3(d) preserves State property-law jurisdiction explicitly. **(2) Mid-level fallback if NFIB anti-coercion concerns surface.** Sec 3(c)(3) authorizes the Secretary to reduce funding levels through regulation if conditional funding under this Act approaches the compulsion threshold. Sec 3(f)(5) preserves the underlying grant program even if specific funding levels are held to violate the anti-coercion limit — the program continues at reduced funding levels rather than collapsing. **(3) Bottom-level fallback.** Sec 3(f) five-track severability preserves all four substantive titles independently. Title IV (Federal Model Legislation Framework) survives even under Sec 3(f)(4) on the residual technical-assistance authority of HUD — model legislation publication and technical assistance can continue without the conditional spending grant programs of Titles I–III. **(4) Pre-introduction engagement.** HUD General Counsel review required. Treasury Office of Tax Policy consultation required for Title IV vacancy taxation and progressive property taxation model frameworks. CBO scoring of grant program funding levels relative to NFIB compulsion threshold required before introduction.

Item Requiring Resolution	Guidance
Constitutional authority (South Dakota v. Dole)	Federal funding conditions must be: (1) in pursuit of general welfare, (2) clearly stated, (3) related to the Federal interest, and (4) not coercive. Grant preference (not exclusion) for qualifying States is the safest structure. Avoid mandatory conditions that approach coercive threshold. Sec 3(b) anchors compliance with each prong of the Dole four-part test in operative bill text. The Dole test was reaffirmed in NFIB v. Sebelius and remains controlling doctrine for conditional federal spending. Sec 3(a) Spending Clause authority recital establishes that this Act is enacted under article I, section 8 — providing courts with the explicit constitutional foundation rather than requiring inference from the legislative scheme.
NFIB v. Sebelius anti-coercion calibration (Sec 3(c)) [NEW]	NFIB v. Sebelius, 567 U.S. 519, 580–82 (2012), held that the Affordable Care Act's Medicaid expansion provision crossed the line from "encouragement" to "compulsion" by threatening to withhold all existing Medicaid funding if States declined the expansion. Conditional federal spending may not be so substantial that withdrawal would amount to compulsion. Sec 3(c) operationalizes the anti-coercion calibration in operative bill text: (1) Title I grants are priority allocation preference, not exclusion of non-qualifying States; (2) baseline HUD funding is preserved without conditioning on this Act's grant criteria; (3) Sec 3(c)(3) authorizes the Secretary to establish funding-level guidance ensuring conditional funding does not approach the compulsion threshold. Sec 3(f)(5) provides the fallback: if any conditional spending provision is held to violate the anti-coercion limit, funding levels may be reduced through regulation without invalidating the underlying grant program. Counsel should review the [TBD] percent allocation preference figures in Sec 101(c) against current HUD funding levels to ensure they remain below the compulsion threshold; CBO scoring should explicitly model the anti-coercion analysis.
Property law and State preemption (Sec 3(d))	This bill provides incentives and model legislation — it does not directly regulate property. State adoption remains voluntary. Counsel to ensure no provision is construed as direct Federal regulation of residential property ownership. Sec 3(d) anchors the State-jurisdiction preservation in operative bill text: nothing in this Act federalizes property law or directly regulates residential property ownership; State property law remains within the exclusive jurisdiction of the several States; Title IV model legislation is voluntary, advisory, and provided as technical assistance only — States adopt, adapt, or decline. Counsel should review Title IV Sec 401(c) "no mandatory adoption" recital and Sec 402(b) "multiple structural options" provision to confirm that the model framework does not inadvertently designate any single structural option as preferred for grant qualification purposes (which could be read as effective Federal mandate notwithstanding the voluntary recital).

Item Requiring Resolution	Guidance
Corporate registry coordination with FinCEN — Corporate Transparency Act post-NSBA v. Yellen [Source CTA, NSBA v. Yellen]	Beneficial ownership registry aligns with Corporate Transparency Act (2021) framework. Counsel to assess whether existing FinCEN infrastructure can be adapted for residential property registry rather than building a new system. Sec 102(c) authorizes registry coordination within the CTA framework where applicable. **NSBA v. Yellen treatment.** The Northern District of Alabama held the Corporate Transparency Act unconstitutional in National Small Business United v. Yellen on Commerce Clause and Necessary and Proper Clause grounds; the Eleventh Circuit reversed in part and the litigation continues. Sec 102(c) explicitly accounts for any judicial limitations on the CTA framework — the section 102 registry can operate independently of the CTA where CTA authority is constrained, on the residual HUD authority for housing-program data collection. Counsel should monitor NSBA v. Yellen and related litigation for any developments affecting Sec 102 registry implementation.
Zoning reform grant authority (Title II, Sec 201)	Transportation grant authority provides the clearest constitutional hook for zoning reform incentives — link to transit access and transportation infrastructure. DOT and HUD joint rulemaking required (Sec 201(d) operationalizes joint rulemaking authority). Sec 502(d) establishes interagency coordination protocols. The transportation-grant hook draws on existing DOT authority under title 23, United States Code, and the Surface Transportation Block Grant Program. Linking residential zoning reform to transit access strengthens the Dole "related to the Federal interest" prong because the reforms directly affect transportation infrastructure planning, traffic patterns, and transit ridership.
Affordability covenant duration (Sec 301(e)) [LIHTC reference]	30-year affordability requirement is standard for the Low Income Housing Tax Credit (LIHTC) under section 42 of the Internal Revenue Code of 1986. Sec 301(e) implements a tiered covenant structure: 50-year affordability requirement for direct grants under Sec 301(a); 30-year requirement for loan guarantees, consistent with the LIHTC framework. The longer covenant for direct grants ensures long-term affordability preservation commensurate with the larger Federal subsidy. Sec 301(e)(3) recapture provision preserves Federal subsidy proportionality — if a covenanted unit converts to non-affordable use during the covenant period, the Federal subsidy is recaptured proportionate to the unexpired covenant term. Counsel should review Sec 301(e) against current LIHTC qualified contract jurisprudence and Department of Housing and Urban Development covenant enforcement experience.

Item Requiring Resolution	Guidance
Davis-Bacon prevailing wage application (Sec 301(f)) [NEW]	Sec 301(f) requires construction funded under Title III to comply with Davis-Bacon Act prevailing wage requirements (subchapter IV of chapter 31 of title 40, U.S.C.). This tracks existing HUD construction grant frameworks under the Community Development Block Grant program and similar HUD authorities. Davis-Bacon application is the standard expectation for federally funded construction and has consistently survived constitutional challenges. Application here strengthens the pro-labor coalition support for Title III without creating novel doctrinal exposure. Counsel should review Sec 301(f) against the current Department of Labor Davis-Bacon regulatory framework (which was subject to substantial revision in 2023) to ensure consistency with current implementation guidance.
Fair Housing Act coordination (Sec 301(g)) [NEW]	Sec 301(g) requires Title III grant and loan guarantee recipients to affirmatively further fair housing consistent with the Fair Housing Act (42 U.S.C. § 3601 et seq.) and the HUD Office of Fair Housing and Equal Opportunity regulatory framework. This integrates Title III with the existing affirmative-furthering obligation that applies to HUD-funded programs. The affirmative-furthering obligation has been the subject of evolving HUD regulatory interpretation since the 2015 Affirmatively Furthering Fair Housing rule. Counsel should review Sec 301(g) against current HUD AFFH regulations and any pending litigation affecting AFFH implementation. Sec 502(f) operationalizes the Office of Fair Housing and Equal Opportunity coordination role.
Anti-displacement provisions (Sec 201(e)) [NEW]	Sec 201(e) requires localities receiving Title II zoning reform grants to adopt anti-displacement measures alongside the zoning reforms — protection of existing residents, inclusionary zoning requirements, tenant-protection measures, and gentrification mitigation. This addresses a significant policy concern with zoning reform: upzoning can drive displacement and gentrification absent protective measures. Sec 201(e) operates as a grant condition (the locality must adopt anti-displacement measures to receive the grant) rather than a Federal mandate on local zoning policy. This preserves the State and local jurisdiction over land use while conditioning the Federal incentive on a balanced approach. Counsel should review Sec 201(e) against existing State and local inclusionary zoning frameworks (many already exist in metropolitan areas) to ensure the model is achievable for grant qualification.

Item Requiring Resolution	Guidance
Grant amounts and CDBG interaction	HUD to model grant amounts based on corporate ownership registry data (once operational under Sec 102). Coordinate with existing CDBG allocation formulas to ensure new incentives complement rather than disrupt existing grant distribution. Sec 101(c) explicitly references priority access to HUD CDBG and HOME Investment Partnership grants, with the [TBD] percent allocation preference operating within the existing allocation framework rather than replacing it. Counsel should coordinate with HUD Office of Community Planning and Development and Office of Block Grant Assistance on the operational integration of the Sec 101(c) preference with existing CDBG and HOME formulas. The [TBD] percent figure must be calibrated to satisfy both the Sec 3(c) anti-coercion limit and the existing distributional balance of the CDBG program.
State qualification certification process (Sec 101(d)) [NEW]	Sec 101(d) establishes a four-step State certification process: (1) State AG certifies enacted qualifying restriction; (2) HUD reviews within 90 days; (3) HUD determination triggers grant preference eligibility for the next fiscal year; (4) recertification on a [TBD]-year cycle confirms the State law remains in force. The State AG certification mechanism leverages State-level legal authority for the threshold determination, with HUD providing Federal review. This avoids HUD second-guessing State legal interpretations while maintaining Federal control over grant eligibility. Counsel should review Sec 101(d) against the National Association of Attorneys General coordination practice for analogous Federal-State certification programs (e.g., the Affordable Care Act State plan amendment process). The [TBD]-year recertification cycle should be calibrated to provide stability for State legislative planning while ensuring continued compliance.

REF_RDNC_Leg09_Bill8_HCI_2029_4 · REF_ Reference Layer · Reform Democrats of the New Commonwealth · 2026

Legal disclaimer applies — see page 1. This framework requires licensed legislative counsel review before introduction.

Originally conceived and authored by a concerned American citizen. Developed with the assistance of Claude (Anthropic). The ideas belong to anyone willing to fight for them.